There are two types of mutual funds that the government says fit the bill:

Balanced funds are a pretty basic blend of stocks and bonds. They're hand-picked by the mutual fund manager to create an evenly distributed portfolio. These funds tend to be somewhere between stock and bond funds in terms of both performance and cost.

Target date funds, also called **lifecycle funds,** are a lot more complicated. They also mix various types of investments (usually shares of other mutual funds), but the mix changes depending on how close you are to your prospective retirement date. The way it works is that you pick the date closest to the year you currently expect to retire and you're matched up with investments that the fund company believes will be right for you. In theory, a lifecycle fund designed for people who are several decades from retirement will start by taking greater risks on more speculative investments; it will then evolve into a more bond-heavy portfolio as the investors get closer to retirement and need a more conservative approach.

While these are both reasonable options, you are better off making choices yourself based on my suggestions in the box on Dividing Your Retirement Savings Pie. The defaults may make your retirement savings a breeze, but you pay for that convenience: The average target date fund aimed at young people currently charges 1.25% a year in total expenses and the average balanced fund charges 1.36%. If you just select a no-load stock index fund and a no-load bond index fund, you could pay less than 0.2%, which means your nest egg will grow, on average, an extra 1% every year. That could mean a difference of thousands of dollars for you come retirement.

HOW TO TAP THE MONEY IN YOUR 401(k) OR IRA IF YOU REALLY NEED IT NOW

On the surface, IRAs and 401(k)s have a major downside for young people. Once you put your money into these accounts, you may have to wait until